The government imposed long-term curfews and banned public gatherings. Food distribution was difficult, as vendors could not get to the markets. Riots and disorder was spreading to other cities as Burma was quickly approaching chaos. One ploy of the regime was to blame the Muslim minority population for the unrest. The regime assumed that the religious antagonism would take pressure off of the government. This had been a tactic used by the government on a few occasions since 1962. This time it did not work since the problems were much more severe and widespread.

By July, the regime called a party congress to deal with the situation. Ne Win's speech to the congress asked for a national referendum on a multiparty system. Second, Ne Win also asked to be able to resign from his government post. He stated that further bloodshed needed to be avoided and civil disturbances must come to an end. A final point in the speech claimed that General Aung Gyi bore the responsibility for the destruction of the Rangoon Student Union Building in 1962, a point that Ne Win seemed to be obsessed with.

The focus of the government turned to economic reform. Aye Ko proposed liberalization of trade, banking reform, and joint public-private ventures. It was obvious that the early socialist policies were dead. The delegates at the party meeting accepted the resignation of Ne Win, but rejected the referendum idea concerning a multiparty system. Several scholars speculate that the accepting of the retirement of Ne Win and rejection of the referendum that was requested by other long-time party leaders Aye Ko, Sein Lwin, Kyaw Htin, and Tun Tin, was simply a ploy to keep the decision making in the hands of the old guard.

The movement picked up momentum by July. Protesters included the working class and most of the urban populations within Burma. The vital element that was missing was the military. It seemed as if a split in the tatmadaw was eminent. Facilitating a split in the military would, in the minds of many, lead to the ultimate fall of the regime. The regime used ethnic minority troops, many from the Kachin group, to suppress the protesters in the cities. One incident in particular showed the extent that the tatmadaw was willing to go in order to stay in power. On August 10, troops entered Rangoon General Hospital and opened fire on wounded protesters. Eventually the troops turned their weapons on hospital staff and innocent